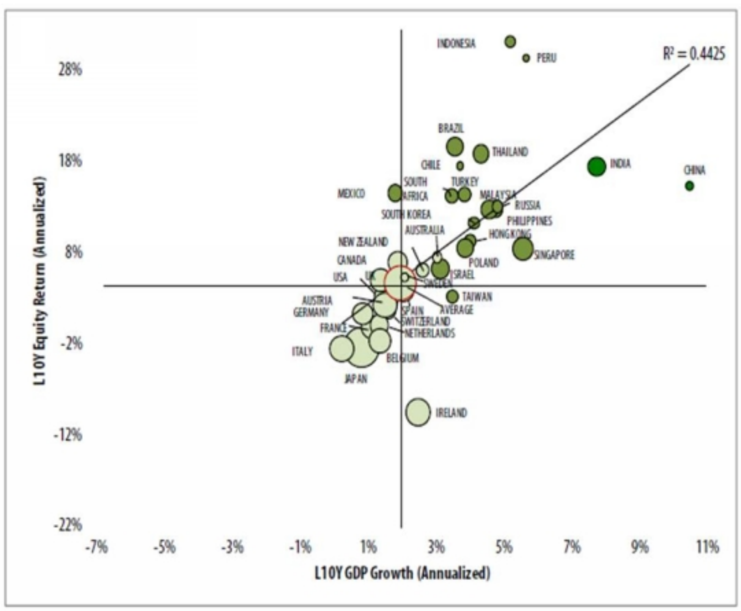
bonds get the full tax treatment. As you factor in tax and inflation into your calculations, then the purchasing power has decreased over time. This is an invisible risk that we often overlook.

On comparison, shareholding can beat inflation because profitable companies typically generate returns much higher than the rate at which they borrowed [19] . Their earnings rate far outgrow inflation rates and holding a piece of the company rewards us better.

Some Proof: The GDP (Gross Domestic Product) is the total market value of all final goods and services produced in a country in a given year. If the GDP grows at a good pace, this essentially means the product manufacturers and service providers are doing well and the government has enough money to fund future expansions.

Plotted below is the 10-year returns from stocks (equity) vs the 10-year growth rate of the GDP for several countries.



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Two observations can be made: